

Alphabet Q3 2025 Earnings

Blind Sentiment & Directional Score: Earnings call Q&A only

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Conventions (sealed before reading)

- **Outputs (exactly four):** sentiment score $\in [-1, +1]$, directional signal $\in \{\text{BUY, HOLD, SELL}\}$, structured summary, evidence quotes.
- **HOLD band:** $|\text{overnight move}| < 2.00\%$. Above $+2.00\%$, BUY is correct. Below -2.00% , SELL is correct.
- **Timing rule:** The company releases after the market close. The overnight move is defined as $(\text{next-trading-day Open} \div \text{release-day Close}) - 1$, applied identically to every report.
- **Price source:** Yahoo Finance daily OHLC pulled via the `yfinance` Python library.
- **Info-source experiment:** this read uses **Earnings call Q&A only** as the ONLY report content. The other sections (the reported financial results, forward guidance) are withheld by design. Sources rotate across companies, so each company reads each source exactly once and each quarter slot contains two of each source.
- **Research:** Google is allowed for pre-release context (definitions, prior-quarter framing, analyst expectations going into the print). Not allowed before sealing: the withheld sections, the stock's price action after the release, after-hours quotes, or post-call analyst takes.
- **Pre-registered metrics:** the primary metric is the Information Coefficient (correlation between the sentiment score and the realised move); the BUY/HOLD/SELL labels are additionally scored with the Matthews Correlation Coefficient (MCC), where guessing the most common label scores zero. Both fixed in advance; no new metrics after seeing results.
- **Horizons:** returns are recorded at overnight, 1, 3, 5, 10 and 20 trading days to locate where the signal lives. The $\pm 2.00\%$ band applies to the overnight move only.

Report metadata

Company	Alphabet Inc. (GOOGL)
Report	Q3 2025
Release date	Wednesday 29 October 2025, after close
Earnings call	4:30pm ET
Source	Motley Fool transcript
Read mode	cold; earnings call Q&A extracts only, no reported results, no guidance, no price chart
Time to produce	43 minutes

Source material (read ONLY this)

Earnings call Q&A extracts (assigned source: Q&A only)

1. *"AI overviews drive meaningful query growth. This effect was even stronger in Q3 as users continue to learn that Google can answer more of their questions"* (Sundar Pichai, CEO).
2. *"We have signed more deals over \$1 billion through Q3 this year than we did in the previous two years combined"* (Sundar Pichai, CEO, on Cloud).

3. *“The Gemini app now has over 650 million monthly active users, and queries increased by 3x from Q2”* (Sundar Pichai, CEO).
4. *“On the AI mode side, we’re testing ads in AI mode, we’ll continue to test and learn before we expand this any further”* (Philipp Schindler, Chief Business Officer).
5. *“We still expect to remain in a tight demand-supply environment in Q4 and 2026”* (Anat Ashkenazi, CFO).
6. *“Depreciation increased \$1.6 billion year over year to \$5.6 billion, reflecting a growth rate of 41%”* (Anat Ashkenazi, CFO).

Your scoring: fill in below, then seal

1 Sentiment score

Score: −0.35

Rationale. Adoption metrics are impressive, but the monetisation answer is still “test and learn”, supply stays tight into 2026, and depreciation is compounding at 41%.

2 Directional signal

Signal: SELL

Rationale. Costs are visibly compounding while the revenue mechanism is still being piloted. SELL.

3 Structured summary

- **What the source shows.** Adoption is real: Gemini at 650M MAUs and billion-dollar cloud deals accelerating.
- **What the source cannot show.** No P&L, so cannot weigh the cost commentary against actual profit delivery.
- **Expectations bar.** A market wanting AI monetisation now may hear “testing” as a delay.
- **Conviction.** Moderate conviction: the cost/monetisation gap is the loudest signal in this source.

4 Evidence quotes

1. *“AI overviews drive meaningful query growth. This effect was even stronger in Q3 as users continue to learn that Google can answer more of their questions”* (Sundar Pichai, CEO).
2. *“We have signed more deals over \$1 billion through Q3 this year than we did in the previous two years combined”* (Sundar Pichai, CEO, on Cloud).
3. *“The Gemini app now has over 650 million monthly active users, and queries increased by 3x from Q2”* (Sundar Pichai, CEO).

— SEALED —

Overnight move and call verification

GOOGL close, 29 October 2025 (release day)	\$274.57
GOOGL open, 30 October 2025	\$291.59
Overnight move	+6.20%

Call verification

- HOLD band test: $|+6.20\%| \geq 2.00\%$, so this is not a HOLD.
- Sign test: The move is positive, so the correct directional call is **BUY**.
- Score given vs. correct call: signal was **SELL**, correct call **BUY**, so **INCORRECT**.

Horizon returns (pre-registered)

For the Information Coefficient. Returns measured from the same baseline close used for the overnight move, at fixed trading-day horizons, from the single price source (yfinance). Filled only after sealing.

Horizon	Return
Overnight (baseline for the label)	+6.20%
D+1 close	+2.52%
D+3 close	+3.33%
D+5 close	+3.55%
D+10 close	+4.42%
D+20 close	+16.53%